

as to justify the effort and to provide a basis for a rational investment program.

To summarize: In the absence of a commonly accepted definition of value, we must, to be practical, go on the assumption that value is in the long run the equivalent of price. But we may also proceed on the assumption that price at any given time is not always the same as value, because there is such a thing as a long term price appraisal which may differ from the current price appraisal. We find that the changes in price that occur from year to year can be ascribed in significantly high degree to corresponding changes in such variables as assets, earnings, and dividends, and habit of mind (price lag). We conclude, therefore, that the evolution of a standard of value, based on a correlation between changes in price and changes in factors of value, when found, should enable us to project the probable future of a stock, not with certainty, but with a sufficiently high degree of probability to validate the premise that such a projection is a practical standard by which to identify areas of undervaluation or overvaluation, not only in the stock market as a whole, but in the prices of individual stocks as well.

It is recognized that the practicality of such a rating depends on ability to forecast the future level of earnings and dividends with reasonable accuracy. Although space does not permit a discussion of the methods by which this can be done, there is evidence to prove that it can be and has been done. At the very least, the analysis proves that the normal capitalization of a given level of earnings and assets can be determined in advance and that, because the capitalization is normal, it will probably be realized. The inescapable hazard of projecting future earnings and dividends remains, of course. But the price that the market will probably place on a given level of earnings and dividends need no longer remain in the realm of pure guess.

If this method of evaluation is sound, then it follows that the stocks that are most deeply undervalued according to